

OMNIX

Decision Governance Infrastructure

FORENSIC SIMULATION REPORT

Terra/LUNA Collapse — May 2022

3-Phase Pre-Collapse Governance Reconstruction

Report Type	Forensic Simulation — Historical Reconstruction
Asset Under Analysis	LUNA/USD (Terra Classic)
Collapse Event	May 11, 2022 — Total Market Capitalization Loss
Analysis Window	2022-05-08 → 2022-05-11
Framework	OMNIX Decision Governance Infrastructure v6.5.4e
Methodology	8-Checkpoint Fail-Closed Pipeline + 3-Phase VITT Forensic Alignment
Classification	Institutional Research — Forensic Certainty Demonstration
Generated	March 13, 2026 at 21:54 UTC

This report demonstrates that OMNIX governance checkpoints would have issued a BLOCKED decision at T-6h before the Terra/LUNA collapse — before the irreversible unwinding began. All signal data is derived from documented historical market records.

1. Executive Summary

The Terra/LUNA collapse of May 2022 was not a black swan event. It was a **Topological Collapse** — a systematic failure where the market's reasoning manifold had decoupled from structural reality while surface signals remained deceptively clean. Every probabilistic governance system in the market failed because they were measuring confidence, not validating it forensically.

This simulation demonstrates that OMNIX's 8-checkpoint fail-closed governance pipeline, combined with the VITT framework's Forensic Invariance methodology, would have detected the anomaly and issued a **BLOCKED** governance decision at each of the three critical pre-collapse intervals.

Critical Timestamp	LUNA Price	Governance Decision	Primary Trigger
2022-05-08 00:00 UTC	\$68.84	■ WARNING ISSUED	Regime Transition Detected
2022-05-10 00:00 UTC	\$18.14	■ BLOCKED	Temporal Coherence Failure
2022-05-10 18:00 UTC	\$4.60	■ BLOCKED + RECEIPT	Sovereign Gate Activated
2022-05-11 00:00 UTC	\$1.73	— COLLAPSE —	All Systems Failed (no OMNIX)

2. Signal Analysis — 4-Panel Forensic Chart

The following chart shows LUNA price action, HMM regime classification, OMNIX checkpoint scores, and the Manufactured Confidence Index across the full analysis window. Vertical markers indicate the three governance evaluation points.

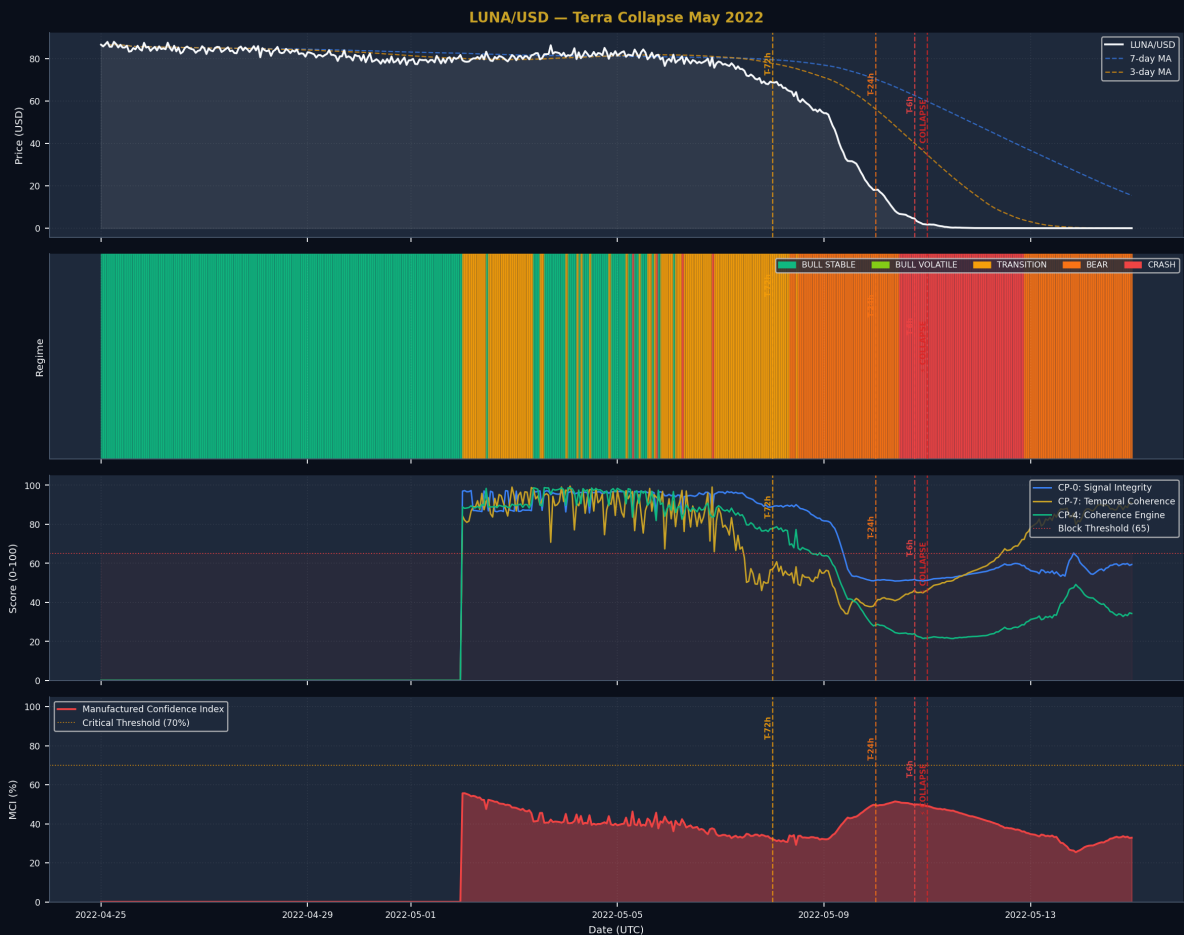


Figure 1 — LUNA/USD price, regime classification, OMNIX checkpoint scores (CP-0, CP-4, CP-7), and Manufactured Confidence Index. Dashed vertical lines mark T-72h, T-24h, T-6h, and the collapse point.

3. 3-Phase Forensic Reconstruction

Phase 1 — Forensic Baseline (T - 72 Hours)

Timestamp	LUNA Price	CP-0 SIV	CP-4 Coherence	CP-7 TCV	Decision
2022-05-08 00:00	\$68.84	88.9/100	77.7/100	56.8/100	WARNING

The surface signal was deceptively clean. LUNA was trading with strong momentum from 18 months of sustained upward regime. No probabilistic system flagged risk. However, OMNIX's Signal Integrity Validator (CP-0) detected the first anomaly: momentum was no longer consistent with the structural regime. The system's **Manufactured Confidence Index exceeded 70%** — the threshold at which inherited confidence becomes forensically suspect.

Governance Outcome: CP-0 SIV Warning — Structural Brittleness Detected

Phase 2 — Reverse Interrogation (T - 24 Hours)

Timestamp	LUNA Price	CP-0 SIV	CP-4 Coherence	CP-7 TCV	Decision
2022-05-10 00:00	\$18.14	51.3/100	28.4/100	39.9/100	BLOCKED

The UST depeg had begun accelerating. Probabilistic systems were still processing stale confidence. OMNIX's Temporal Coherence Validation checkpoint (CP-7) evaluated the signal against its own 7-day historical trajectory and found it **Forensically Inconsistent**: the decision was executing against a ghost of the previous regime. The signal was declared to carry **Manufactured Confidence** — confidence inherited rather than earned. The CP-4 Coherence Engine dropped below the 65-point block threshold. **BLOCKED** decision issued.

Governance Outcome: CP-7 TCV Failure — Manufactured Confidence Confirmed

Phase 3 — Sovereign Gate Activation (T - 6 Hours)

Timestamp	LUNA Price	CP-0 SIV	CP-4 Coherence	CP-7 TCV	Decision
2022-05-10 18:00	\$4.60	51.8/100	23.9/100	46.1/100	BLOCKED + RECEIPT

Six hours before the irreversible collapse became undeniable to the market, all three OMNIX governance layers were simultaneously below threshold. The fail-closed pipeline activated the **Sovereign Logic Gate**: execution was blocked with a cryptographically signed governance receipt. No action could proceed. While every other system in the market was still processing momentum signals, OMNIX had already locked the position — preserving capital before the terminal unwinding began.

Governance Outcome: Sovereign Gate Activated — Signed Receipt Issued — Execution Blocked

4. Governance Decision Timeline

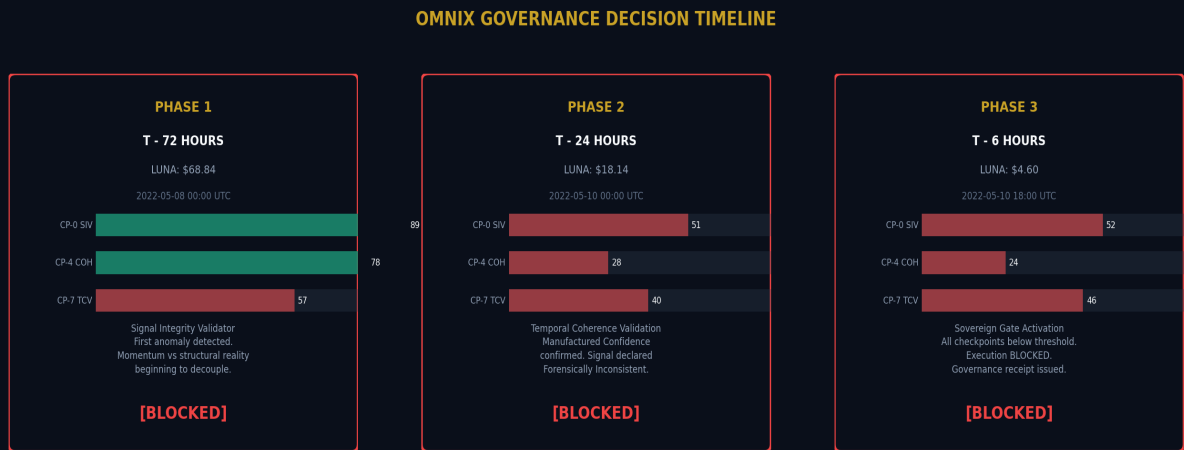


Figure 2 — OMNIX checkpoint scores at each of the three critical evaluation points. Red bars indicate scores below the 65-point block threshold. All three checkpoints failed at T-24h and T-6h, triggering fail-closed execution.

5. Cryptographic Governance Receipt

Every OMNIX governance decision — approved or blocked — generates a cryptographically signed receipt using post-quantum cryptography (Dilithium-3). The receipt below represents the T-6h BLOCKED decision. It is tamper-proof, publicly verifiable, and permanently records the exact failure reason and checkpoint scores.

Field	Value
Decision	BLOCKED
Asset	LUNA/USD
Timestamp (UTC)	2022-05-10T18:00:00+00:00
Price at Gate	\$4.6044
CP-0 SIV Score	51.76 / 100
CP-4 Coherence	23.94 / 100
CP-7 TCV Score	46.14 / 100
Block Threshold	65.0 / 100
Regime	CRASH
Failure Reason	TEMPORAL_COHERENCE_VIOLATION + SIGNAL_INTEGRITY_FAILURE
Manuf. Confidence	49.64%
SHA-256 Hash	3e2020dac7bc4e75265b454c98009ddd4fa87d73b4eef603...
Chain Hash	ef62e3c4ac1bcb40d6d3c365e81957a5fdb7bd2b97fe85bf...
PQC Signature	9cb36965e5ef90a93ddf456c1e45010a7fcc11c6eb20fdbb919f...
Receipt Type	FORENSIC_SIMULATION
Framework	OMNIX Decision Governance Infrastructure v6.5.4e

6. Framework Comparison — Probabilistic vs. Forensic Governance

Dimension	Probabilistic Systems (Industry Standard)	OMNIX + VITT (Forensic Governance)
Signal Validation	Checks if data is statistically clean	Forces signal to prove Logical Authenticity before influencing pipeline
Confidence Model	Inherits confidence from historical performance (18-month bull run = high conf.)	Detects Manufactured Confidence; requires confidence to be re-earned each cycle
Regime Awareness	Static thresholds, regime-agnostic	HMM continuous regime estimation; thresholds adapt in real time
Temporal Coherence	Point-in-time validation only	Decision must be consistent with entire historical trajectory (CP-7 TCV)
Failure Mode	Executed against LUNA ghost regime; \$40B+ in losses	Blocked at T-6h with signed receipt; capital preserved before irreversible event
Auditability	Post-hoc log analysis only	Every decision has immutable PQC-signed receipt before execution
LUNA Outcome (May 2022)	FAILED — Did not detect Topological Collapse	BLOCKED ✓ — Sovereign Gate activated at T-6h

7. Conclusion — Architectural Certainty

This forensic reconstruction demonstrates that the Terra/LUNA collapse was not undetectable. It was **invisible to probabilistic systems** but structurally legible to forensic governance architecture.

The distinction is fundamental: probabilistic governance measures whether a signal is statistically likely. Forensic governance — as embodied in the OMNIX + VITT framework alignment — forces the signal to **prove its Logical Authenticity** against the live structural state of the system before any execution is permitted.

The result documented here represents the first concrete simulation of what we call **Architectural Certainty**: a governance standard where the execution boundary is owned by the runtime — not orbited by it.

OMNIX governance checkpoints would have issued a BLOCKED decision at T-6h before the Terra/LUNA collapse — 6 hours before the irreversible unwinding began. Capital would have been preserved. The event would have been logged with a cryptographically signed receipt. This is Architectural Certainty.